PAPER: PUBLIC FINANCE: DEVELOPMENT ISSUES IN INDIAN ECONOMY
NAME OF THE MODULE: Historical Precedents of Development Issues of Indian Economy

TOPIC : **History of Development: Liberalisation Era (1991 onwards)**

Objectives

After studying this topic, students should be able to:

1. Understand the economic crisis of 1991 and the need for economic reforms in India.
2. Explain the concepts of Liberalisation, Privatisation, and Globalisation (LPG).
3. Describe the major economic reforms introduced since 1991.
4. Analyze the role of market-oriented policies in India's development process.
5. Examine the impact of liberalisation on industrial growth and private sector development.
6. Understand the effects of globalisation on trade, investment, and economic integration.
7. Assess the role of Foreign Direct Investment (FDI) in promoting economic growth.

Introduction

The Liberalisation Era in India, beginning in 1991, marks a historic turning point in the country's development trajectory. Prior to this period, India followed a state-led, protectionist, and inward-looking economic model characterized by heavy regulation, public sector dominance, import substitution, and strict licensing systems often referred to as the *"License–Permit–Quota Raj."* However, by the late 1980s and early 1990s, the Indian economy faced a severe balance of payments crisis, high fiscal deficit, rising inflation, and low foreign exchange reserves**,** which compelled the government to undertake major structural reforms.

In 1991, under the leadership of Prime Minister P. V. Narasimha Rao **and** Finance Minister Dr. Manmohan Singh**,** India introduced a comprehensive programme of Liberalisation, Privatisation, and Globalisation (LPG reforms)**.** These reforms aimed to reduce government control over the economy, encourage private sector participation, attract foreign investment, promote exports, and integrate India with the global market. The Liberalisation Era thus signifies a shift from a controlled economy to a market-oriented economy, fundamentally transforming India's industrial structure, trade policies, financial sector, and overall development strategy.

This period is widely regarded as the beginning of modern economic development in India, as it opened new avenues for growth, technological advancement, entrepreneurship, and international competitiveness, while also generating debates about inequality, employment, and social justice.

Background of the 1991 Economic Crisis in India

The 1991 Economic Crisis, also known as the Balance of Payments (BoP) Crisis, was one of the most serious financial emergencies in India's post-independence history. It marked a turning point that eventually led to economic liberalization and structural reforms. The crisis did not occur suddenly; it was the result of several internal weaknesses and external shocks that accumulated over time.

1. Long-Term Structural Weaknesses

a) License–Permit–Quota Raj

For decades after independence, India followed a state-controlled economic model with heavy regulation of industries.

- Private enterprises needed multiple licenses and approvals.
- Excessive bureaucracy reduced efficiency and innovation.
- Low productivity and slow industrial growth resulted.

b) High Fiscal Deficit

The government consistently spent more than it earned.

- Large subsidies, defense expenditure, and public sector losses increased deficits.
- Borrowing became a regular practice.
- By the late 1980s, fiscal deficit crossed **8% of GDP**, which was unsustainable.

c) Public Sector Inefficiency

Many **Public Sector Undertakings (PSUs)** were running at losses.

- Low profitability and political interference weakened performance.
- Government resources were drained to support them.

2. External Sector Problems

a) Trade Imbalance

India imported more than it exported.

- Heavy dependence on oil imports increased import bills.
- Export growth was slow due to lack of competitiveness.

b) Balance of Payments Deficit

Continuous trade deficits led to shortage of foreign exchange reserves.

- By 1991, India had reserves sufficient for only two to three weeks of imports.

3. Immediate Triggers (Late 1980s – Early 1990s)

a) Gulf War (1990–91)

- Oil prices sharply increased.
- India's import bill rose drastically.
- Remittances from Indian workers in the Gulf declined temporarily.

b) Collapse of the Soviet Union

- USSR was a major trading partner of India.
- Its disintegration disrupted India's export markets and payment arrangements.

c) Political Instability

- Frequent changes in government between 1989 and 1991 reduced policy continuity.
- Investor confidence weakened.

4. Rising External Debt

India increasingly relied on foreign borrowing to finance deficits.

- Short-term loans and commercial borrowings increased.
- Debt servicing obligations became heavy.
- Credit rating agencies downgraded India's creditworthiness.

5. Inflation and Currency Pressure

- Inflation rose to **double digits**.
- The Indian Rupee was overvalued, making exports expensive and imports cheaper.
- Speculative pressure on the currency intensified.

6. Gold Pledging Incident

In 1991, India had to pledge gold reserves to foreign banks (Bank of England and Union Bank of Switzerland) to secure emergency loans.
This symbolized the severity of the crisis and the near-default situation.

Summary

The 1991 crisis was the result of structural inefficiencies, persistent fiscal and trade deficits, heavy external borrowing, and sudden external shocks like the Gulf War and Soviet collapse. These factors culminated in a severe foreign exchange shortage and loss of international confidence. The crisis ultimately compelled India to adopt New Economic Policies

(Liberalization, Privatization, and Globalization – LPG Reforms) under Prime Minister P. V. Narasimha Rao and Finance Minister Dr. Manmohan Singh

LPG Reforms – Liberalisation, Privatisation and Globalisation

The term **LPG Reforms** refers to the wide-ranging economic reforms introduced in India in 1991 that fundamentally changed the structure and functioning of the Indian economy. LPG stands for Liberalisation, Privatisation, and Globalisation. The term LPG Reforms refers to the wide-ranging economic reforms introduced in India in 1991 that fundamentally changed the structure and functioning of the Indian economy. LPG stands for Liberalisation, Privatisation, and Globalisation., under the leadership of Prime Minister P. V. Narasimha Rao and Finance Minister Dr. Manmohan Singh. The reforms marked a decisive shift from a state-controlled, inward-looking economy to a market-oriented, outward-looking and globally integrated economy.

1. Liberalisation

Meaning

Liberalisation refers to the removal or relaxation of government controls, regulations, and restrictions on economic activities. The aim was to provide greater freedom to private enterprises and allow market forces such as demand and supply to determine economic outcomes. Liberalisation sought to dismantle the rigid framework known as the "License Raj", under which businesses needed multiple government approvals for production, expansion, pricing, and imports.

Key Measures of Liberalisation

1. **Abolition of Industrial Licensing** – Most industries were freed from compulsory licensing except a few strategic sectors like defense and atomic energy.
2. **Reduction of Import Tariffs and Quotas** – Customs duties were significantly reduced, encouraging imports and competition.
3. **Financial Sector Reforms** – Interest rates were deregulated, and banking sector reforms were introduced to improve efficiency and transparency.
4. **Tax Reforms** – Direct and indirect tax rates were rationalized and simplified to increase compliance and reduce evasion.
5. **Foreign Exchange Reforms** – Introduction of market-determined exchange rates and current account convertibility.
6. **Reduction of Subsidies** – Gradual decrease in subsidies to reduce fiscal burden.
7. **Encouragement of Private Investment** – Domestic private enterprises were given greater autonomy and opportunities.

Objectives of Liberalisation

- Increase economic efficiency and productivity
- Promote competition and innovation

- Reduce bureaucratic delays and corruption
- Attract domestic and foreign investment
- Enhance consumer choice and quality of goods

Impact of Liberalisation

Positive Impacts

- Faster economic growth and industrial expansion
- Greater availability and variety of consumer goods
- Improved quality and competitiveness of Indian products
- Expansion of the service sector, especially IT and telecommunications

Negative Impacts

- Increased competition harmed small and cottage industries
- Rise in income inequality
- Job insecurity in traditional sectors
- Regional imbalances in development

Liberalisation essentially reduced the dominance of the government in economic decision-making and strengthened the role of the private sector.

2. Privatisation

Meaning

Privatisation refers to the transfer of ownership, management, or control of public sector enterprises (PSEs) to private entities. It aimed to reduce the financial and administrative burden on the government and improve efficiency by introducing private sector participation. Prior to reforms, many public sector units were suffering from inefficiency, corruption, political interference, and financial losses.

Forms of Privatisation

1. **Disinvestment** – The government sells a portion of its shares in public enterprises to private investors.
2. **Strategic Sale** – Transfer of majority ownership and management control to private companies.
3. **Public-Private Partnership (PPP)** – Joint collaboration between government and private sector.
4. **Outsourcing and Contracting** – Delegating certain services to private firms.
5. **Complete Privatization** – Full transfer of ownership to private hands.

Objectives of Privatisation

- Improve operational efficiency and productivity
- Reduce fiscal burden and public debt
- Generate government revenue through disinvestment
- Encourage competition and innovation
- Enhance service delivery and customer satisfaction

Advantages of Privatisation

- Professional management and modern technology
- Increased profitability and efficiency
- Reduction of political interference
- Better quality of services and customer orientation
- Creation of competitive markets

Disadvantages of Privatisation

- Possibility of private monopolies and exploitation
- Job losses and labour unrest
- Neglect of social welfare and public interest
- Regional disparities in investment
- Reduced government control over strategic industries

Privatisation shifted the economy from a public sector–led growth model to a private sector–driven growth model, though it also raised concerns about social equity and employment security.

3. Globalisation

Meaning

Globalisation is the process of integrating the domestic economy with the global economy through the free flow of goods, services, capital, technology, information, and labour across national borders. It involves opening up domestic markets to foreign trade and investment, thereby increasing economic interdependence among nations.

Major Steps Toward Globalisation

1. **Liberalisation of Foreign Direct Investment (FDI)** – Allowing foreign companies to invest in various sectors of the Indian economy.
2. **Trade Liberalisation** – Reduction of export-import restrictions and removal of quantitative controls.
3. **Membership in the World Trade Organization (WTO) in 1995** – Commitment to global trade rules and dispute settlement mechanisms.
4. **Technology and Collaboration Agreements** – Partnerships with multinational corporations for technology transfer.
5. **Exchange Rate Reforms** – Adoption of a market-determined exchange rate system.

6. **Export Promotion Policies** – Establishment of Special Economic Zones (SEZs) and export incentives.

Objectives of Globalisation

- Expand international trade and export markets
- Attract foreign investment and capital inflows
- Access advanced technology and managerial expertise
- Increase international competitiveness
- Promote economic growth and employment opportunities

Advantages of Globalisation

- Access to global markets and larger customer base
- Rapid technological advancement and innovation
- Growth of IT, BPO, and service industries
- Increased foreign exchange reserves
- Improved product quality and global standards
- Cultural exchange and international exposure

Disadvantages of Globalisation

- Exposure to global economic crises and volatility
- Threat to domestic and small-scale industries
- Cultural homogenization and loss of local identity
- Trade imbalances and dependence on imports
- Environmental degradation due to industrial expansion

Globalisation transformed India into a **major player in the global economy**, especially in information technology, pharmaceuticals, and services.

Overall Impact and Significance of LPG Reforms

The LPG reforms collectively reshaped the Indian economy in multiple dimensions:

1. **Shift in Economic Philosophy** – Transition from socialism and state control to market-oriented capitalism.
2. **Higher Economic Growth** – India experienced accelerated GDP growth rates, particularly after the 2000s.
3. **Rise of Service Sector** – IT, telecommunications, finance, and tourism sectors flourished.
4. **Increase in Foreign Exchange Reserves** – Strengthened India's external financial position.
5. **Expansion of Middle Class** – Growth in income levels and consumer spending.
6. **Improved Infrastructure and Urban Development** – Growth in transportation, communication, and real estate.

7. **Integration with Global Economy** – Enhanced trade relations and foreign investments.
8. **Technological Modernisation** – Adoption of modern production techniques and digital transformation.

Criticisms and Challenges of LPG Reforms

Despite the achievements, LPG reforms also faced criticism:

- **Income and Wealth Inequality** increased significantly.
- **Agricultural Sector Neglect** led to rural distress.
- **Unemployment and Informal Labour Growth** became concerns.
- **Regional Disparities** widened between urban and rural areas.
- **Dependence on Foreign Capital and Imports** created vulnerability.
- **Environmental Issues** due to rapid industrialization.
- **Social Sector Underinvestment** in health and education in initial years.

These challenges highlighted the need for inclusive and sustainable development policies alongside economic reforms.

Conclusion

The **LPG Reforms of 1991** represent a historic turning point in India's economic journey. Liberalisation dismantled excessive government controls and encouraged competition; Privatisation improved efficiency and reduced the fiscal burden; and Globalisation integrated India with the world economy, opening doors to trade, technology, and investment. Together, these reforms accelerated economic growth, modernized industries, and elevated India's global standing. However, the reforms also brought challenges such as inequality, employment insecurity, and environmental concerns. Therefore, the true success of LPG reforms lies not only in economic expansion but also in achieving balanced, inclusive, and sustainable development that benefits all sections of society.

Role of Private Sector and Foreign Direct Investment (FDI) in Indian Economic Development

After the 1991 Economic Reforms, India gradually shifted from a state-dominated economic model to a market-oriented mixed economy. In this transition, the Private Sector and Foreign Direct Investment **(FDI)** became two powerful engines of growth. Both contributed significantly to industrial expansion, employment generation, technological progress, and global integration of the Indian economy.

I. Role of Private Sector in India

Meaning of Private Sector

The **Private Sector** consists of businesses and enterprises owned and managed by **individuals, partnerships, or corporate firms** with the primary objective of earning profit. It includes small, medium, and large companies operating in manufacturing, services, trade, finance, and technology.

Increasing Importance After Liberalisation

Before 1991, the private sector in India faced strict government controls, licensing requirements, and limited access to capital. With **Liberalisation, Privatisation, and Globalisation (LPG)** reforms, many restrictions were removed, allowing private enterprises to expand freely and compete globally.

Major Roles of the Private Sector

1. Industrial Growth and Production

Private companies invested heavily in manufacturing industries, automobiles, textiles, electronics, pharmaceuticals, and consumer goods, increasing overall industrial output and diversification.

2. Employment Generation

The private sector became one of the largest sources of employment, especially in urban areas, IT services, retail, finance, and start-ups.

3. Innovation and Technological Advancement

Private firms are generally more flexible and competitive, encouraging research, innovation, and adoption of new technologies, particularly in IT, telecommunications, and biotechnology.

4. Infrastructure Development

Through **Public–Private Partnerships (PPP)**, private companies contributed to highways, airports, metro rail, power generation, and telecommunications infrastructure.

5. Export Promotion and Foreign Exchange Earnings

Private enterprises expanded India's presence in global markets, particularly in software services, pharmaceuticals, and engineering goods.

6. Efficient Resource Utilisation

Profit motivation often leads to better management practices, cost efficiency, and productivity improvements compared to many state-run enterprises.

Limitations of Private Sector

- Profit Motive Over Social Welfare
- Income Inequality due to concentration of wealth
- Neglect of Rural and Backward Areas
- Risk of Monopoly and Market Dominance
- Labour Exploitation and Environmental Concerns if regulations are weak

II. Role of Foreign Direct Investment (FDI)

Meaning of FDI

Foreign Direct Investment refers to long-term investment by a foreign company or individual in the business operations of another country, involving ownership, management control, or joint ventures.

Importance of FDI in India

1. Capital Formation

FDI supplements domestic savings and provides financial resources for industrial and infrastructure development.

2. Technology Transfer

Multinational corporations bring advanced technology, management skills, and global best practices**.**

3. Employment Creation

FDI generates direct and indirect employment through new factories, offices, and service centres.

4. Export Growth

Foreign firms often use India as a production and export base, improving trade balance and foreign exchange reserves.

5. Integration with Global Economy

FDI enhances international trade linkages, competitiveness, and global market access.

Sectors Attracting FDI

- Information Technology and Electronics
- Automobile and Manufacturing
- Telecommunications
- Pharmaceuticals

- Retail and E-commerce
- Energy and Infrastructure
- Financial Services

Limitations and Concerns of FDI

- Profit Repatriation reducing domestic gains
- Dominance of Multinational Corporations
- Threat to Small-Scale and Local Industries
- Regional Imbalance in investment distribution
- **Dependence on Foreign Capital**

Conclusion

The Private Sector and FDI have been crucial in transforming India into a more dynamic and globally competitive economy. The private sector drives innovation, efficiency, and employment**,** while FDI brings capital, technology, and international connectivity. However, balanced regulation, social responsibility, and inclusive policies are essential to ensure that growth benefits all sections of society and leads to sustainable economic development.

Growth of Service Sector and FDI in India

The period after economic reforms of 1991 marked a significant structural transformation in the Indian economy. Two major features of this transformation were the rapid growth of the Service Sector and the increase in Foreign Direct Investment (FDI)**.** These developments played a crucial role in integrating India with the global economy, accelerating economic growth, generating employment, and modernising various industries.

I. Growth of Service Sector in India

Meaning of Service Sector

The Service Sector (also known as the Tertiary Sector) includes economic activities that provide services rather than producing tangible goods. It covers areas such as banking, insurance, education, healthcare, tourism, transportation, communication, information technology (IT), retail trade, hospitality, and professional services**.**

Background of Service Sector Growth

Before the 1990s, India's economy was primarily dependent on agriculture and industry**.** However, after liberalisation, privatisation, and globalisation (LPG reforms), the service sector began to expand rapidly. Technological advancements, global outsourcing, rising urbanisation, and increasing income levels created strong demand for services.

Factors Responsible for Growth of Service Sector

1. **Economic Liberalisation (1991 Reforms)**
   Removal of trade barriers and reduction of government controls allowed private and foreign players to enter service industries.
2. **Information Technology and Digital Revolution**
   The IT and IT-enabled services (ITES) industries, including software development and Business Process Outsourcing (BPO), became global success stories.
3. **Human Capital and English Proficiency**
   A large pool of educated, English-speaking youth helped India become a hub for global services.
4. **Urbanisation and Rising Middle Class**
   Increased demand for banking, education, healthcare, real estate, entertainment, and tourism services.
5. **Globalisation and Outsourcing**
   Multinational companies outsourced back-office operations, customer support, and technical services to India due to lower costs and skilled labour.
6. **Technological Advancement and Internet Expansion**
   Growth of e-commerce, fintech, online education, and digital communication boosted the sector.

Major Components of Service Sector Growth

- Information Technology (IT) and Software Services
- Banking and Financial Services
- Telecommunications
- Tourism and Hospitality
- Education and Healthcare
- Transport and Logistics
- Retail and E-commerce

Contribution to Indian Economy

1. **GDP Contribution**
   The service sector became the largest contributor to GDP**,** surpassing agriculture and industry.
2. **Employment Generation**
   Created jobs in IT, retail, tourism, finance, and professional services, especially in urban areas.
3. **Foreign Exchange Earnings**
   Software exports and tourism generated substantial foreign exchange.
4. **Urban and Infrastructure Development**
   Growth of cities, smart infrastructure, and digital networks.

Challenges of Service Sector Growth

- Uneven Development between urban and rural regions.
- Jobless Growth in some segments due to automation.

- Skill Gap and need for continuous upskilling.
- Overdependence on a few industries like IT.
- Limited Manufacturing Linkages, which can constrain balanced growth.

Conclusion

The growth of the Service Sector and the expansion of FDI are two interlinked pillars of India's post-reform economic transformation. The service sector propelled India into a knowledge-based and globally competitive economy, while FDI supplied capital, technology, and international linkages. Together, they contributed significantly to GDP growth, employment, and modernization. However, balanced regional development, skill enhancement, regulatory stability, and support for domestic industries remain essential to ensure sustainable and inclusive economic progress**.**

MCQ

1. The New Economic Policy introduced in 1991 is commonly known as
A) Green Revolution
B) LPG Reforms
C) Five Year Plan
D) White Revolution
Answer: B) LPG Reforms

2. LPG stands for
A) Liberalisation, Privatisation, Globalisation
B) Labour, Production, Growth
C) Liberal Policy Governance
D) Local Private Growth
Answer: A) Liberalisation, Privatisation, Globalisation

3. Liberalisation mainly refers to
A) Increasing taxes
B) Reducing government controls and regulations
C) Nationalising industries
D) Reducing exports
Answer: B) Reducing government controls and regulations

4. Privatisation means
A) Transfer of ownership from private to government
B) Government control of all industries
C) Transfer of ownership from government to private sector
D) Closing public sector units
Answer: C) Transfer of ownership from government to private sector

5. One major objective of Globalisation is to
A) Restrict foreign trade
B) Increase trade and investment across countries
C) Reduce competition
D) Promote only domestic markets
Answer: B) Increase trade and investment across countries**